Collective Layoffs and Offshoring: A Social Contract Account

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Collective layoffs can occur for many reasons, often related to a firm's pursuit of greater efficiency and cost reduction, and they tend to trigger negative reactions among the public. Anecdotal evidence suggests that offshoring, one of the most controversial and politicized aspects of globalization, evokes particularly negative reactions. We propose a social contract account of consumer reactions to collective layoffs and demonstrate differential consumer responses to collective layoffs due to offshoring versus other reasons, such as automation. Layoffs due to offshoring are perceived as an especially egregious violation of the normative expectation that firms should support members of their society. Data from nine experimental studies ($N = 5{,}568$; seven reported in the main paper and two in the General Discussion section), public consumer responses to layoffs in a large online community ($N = 29{,}045$), and layoff announcements in the European Union ($N = 1{,}261$) show that consumers react more negatively to collective layoffs due to offshoring compared to other reasons. Supporting our social contract account, the negative effect of offshoring is stronger when offshoring affects workers in the consumers' home (vs. foreign) country, when the firm is domestic (vs. foreign), and when most customers are domestic (vs. foreign).

Keywords: layoffs, social contracts, social contract violation, offshoring, international marketing

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Collective layoffs, where firms simultaneously terminate the employment of a group of workers, are a common phenomenon (Datta et al. 2010). These layoffs can occur for various reasons, often driven by a firm's pursuit of greater efficiency and cost reduction. One common reason is offshoring, which involves moving domestic production and service jobs abroad (Kotabe and Mudambi 2009). Other reasons include leveraging technology to automate tasks and outsourcing work to specialized firms. Although all these approaches displace local labor, their public perception and perceived legitimacy may differ. Collective layoffs due to offshoring appear to elicit particularly strong reactions from consumers and the general public, even when other labor market forces, especially automation, have more significant overall effects on employment (Frey 2019; Rodrik 2018). For example, firms' offshoring decisions have been shown to affect voting behavior substantially more than other collective layoff decisions (Margalit 2011). Offshoring firms have also been criticized in US presidential campaigns by both

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Democratic and Republican candidates (e.g., Barack Obama and Donald Trump); former US president Joe Biden even proposed a "Biden Offshoring Tax Penalty" (Biden 2020).

Despite the practical and societal importance of this phenomenon, it remains unclear what drives consumer reactions to collective layoffs and whether such reactions differ systematically as a function of the efficiency-enhancing strategy adopted by firms (e.g., offshoring or other forms such as automation). Prior research has thus far provided initial evidence that consumers react negatively to offshoring (Grappi, Romani, and Bagozzi 2013; Thelen, Yoo, and Magnini 2011; Whitaker, Krishnan, and Fornell 2006). For example, prior research has investigated consumer perceptions of service quality when firms offshore versus do not offshore their customer service (Whitaker et al. 2006), and how consumers react when firms offshore versus do not offshore production (Grappi et al. 2013). However, these studies were not designed to disentangle negative consumer responses to offshoring from negative consumer responses to layoffs in general (for a systematic literature review, see table A1 in web appendix A). What makes moving domestic work abroad psychologically different from other collective layoff reasons, such as automating or outsourcing work, even if they involve comparable reductions of the domestic labor force? And if consumers indeed react more negatively to offshoring than to other layoff decisions, how do these differential reactions vary depending on firm and consumer characteristics?

We seek to address these gaps by (i) proposing and testing a comprehensive theoretical account of psychological reactions to collective layoffs; (ii) documenting negative consumer reactions to layoffs resulting from offshoring versus other reasons, both in real-world settings and controlled experiments holding constant the number of domestic job losses; and (iii) demonstrating that our findings extend beyond, and are poorly explained by, previously proposed explanations, such as ethnocentrism, patriotism, or product quality perceptions. Specifically, we theorize that consumer reactions to collective layoffs can be understood within a *framework of social contracts*. Social contracts delineate implicit and reciprocal ("give-and-take") relationships between firms and members of their society, such as consumers or workers (Donaldson 1982; Dunfee, Smith, and Ross 1999). We propose that consumers react more negatively to decisions about offshoring compared to other firm decisions that involve collective layoffs, such as automation. This is because offshoring uniquely breaches a key element of social contracts: the normative expectation that firms should support members of their society by promoting and committing to local production. Our theory identifies important moderators of negative consumer reactions to offshoring, including the location of (i) the collective layoffs, (ii) the firm's headquarters (HQ), and (iii) the firm's customer base. To test our predictions, we employ a multi-method approach, incorporating both field and laboratory data. Our studies compare the effect of offshoring against several other forms of collective layoffs, including automation, outsourcing, relocation, and declining demand.

Our research makes three main contributions. First, we contribute to the vast literature in marketing, management, finance, and other disciplines on the phenomenon of offshoring (Bretscher 2023; Farrell 2005; Thelen et al. 2011) by unraveling the psychology of offshoring and its consequences for consumer attitudes and behavior. Our social contract framework provides a more comprehensive conceptualization of consumer responses to collective layoffs than previously proposed accounts and provides novel insights particularly relevant to the international marketing literature. For example, our framework predicts that in the context of offshoring, consumers perceive domestic firms more negatively than foreign firms, which represents a reversal of the well-documented tendency for consumers to favor (products from) domestic over foreign firms (Sharma 2011; Verlegh 2007).

Second, our research advances the literature on social contracts in marketing, management, and business ethics (Malhotra, Sahadev, and Purani 2017; Montgomery et al. 2018; Neiman 2013). We show that social contract theory can serve as a fruitful framework to explain consumer reactions to firm actions that affect members of their society (e.g., workers). We also provide new insights into the formation of social contracts, an understudied aspect in social contract theory (Thompson and Hart 2006) and in marketing research (Montgomery et al. 2018). These new insights may inform phenomena beyond offshoring; for instance, consumer reactions to brand transgressions may depend on antecedents on both the firm level (e.g., the location of the firm's HQ) and the community level (e.g., the location of the firm's customer base).

Third, our research contributes to the field of lay economics, which studies how lay people think about the workings of the economy (Bhattacharjee, Dana, and Baron 2017; Boyer and Petersen 2017). Specifically, our work sheds light on how consumers perceive the causes of collective layoffs, often related to a firm's pursuit of greater efficiency and cost reduction. Understanding these perceptions is critical, as they shape political beliefs and policy responses (Boyer and Petersen 2017), yet this area remains underexplored in lay economics. For instance, two primary forces shaping this quest for efficiency are globalization and technology, of which offshoring and automation are the most visible manifestations. Our social contract account offers a deeper understanding of why consumers react differently to layoffs caused by offshoring versus automation. Consumers tend to view offshoring as a more severe breach of the reciprocal relationship inherent in the social contract, perceiving it as less legitimate behavior than automation, even when the impact on local employment is similar. In

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the next section, we review relevant related literature and provide the conceptual background for our predictions.

CONCEPTUAL DEVELOPMENT

Collective layoffs are a widespread and significant organizational practice (Datta et al. 2010). In response to intense competitive pressure, firms often rely on collective layoffs as a strategy to boost efficiency and cut costs. To achieve these goals, firms may adopt various strategies. For instance, firms can reduce their production costs by outsourcing labor to specialized firms within the same country (Goldschmidt and Schmieder 2017) or by replacing human labor with machines (Acemoglu and Restrepo 2020).

A major efficiency-enhancing strategy that has received considerable attention from both academics and practitioners is offshoring (Contractor et al. 2010)—moving domestic labor abroad (Brown and Siegel 2004). A large body of research has documented positive effects of offshoring on individual firms; for example, offshoring can help firms to become more efficient (Farrell 2005), more innovative (Nieto and Rodríguez 2011), and more globally competitive (Di Gregorio, Musteen, and Thomas 2009). Moreover, offshoring can help mitigate global inequality by offering better earning opportunities to workers in developing countries (Rodrik 2018).

At the same time, research in services marketing suggests that firms may encounter negative consumer reactions when they offshore their customer service to another country (Bharadwaj and Roggeveen 2008; Durvasula and Lysonski 2008; Thelen et al. 2011). For example, consumers may perceive call centers less positively when they are offshored to a foreign country than when they are located domestically because they are concerned about a decline in service quality (Bharadwaj and Roggeveen 2008). Consumers may oppose service offshoring because of free trade resentment and foreign worker enmity (Thelen et al. 2011) or because they consider it unpatriotic (Durvasula and Lysonski 2008). Most relevant to the present investigation, Grappi et al. (2013) examined how firms' decisions to offshore versus maintain corporate activities at home affect consumer attitudes toward firms. They find that laying off domestic workers to offshore jobs abroad makes firms be seen more negatively and as less moral (vs. firms that retain these functions in their home country). However, this line of research did not separate the effect of offshoring on firm perceptions from the general negativity associated with collective layoffs (Stäbler et al. 2023; see table A1 in web appendix A). This separation is crucial because it remains uncertain whether consumer reactions would be equally negative in response to other reasons for collective layoffs, such as automation. To address this question, we introduce a new theoretical framework centering on social contract violations.

Social Contract Theory

Society operates not only on the basis of legal contracts but also of social contracts, which are implicit promises and agreements that parties are expected to adhere to (Donaldson 1982; Rawls 2009; Rousseau 1997). In contrast to legal contracts, social contracts are not enforceable or legally binding. Yet, this does not diminish their influence. In political philosophy, the concept of a social contract is a pivotal perspective for describing mutual expectations between people and authorities within a society (Hobbes 1998; Rawls 2009; Rousseau 1997). In a business context, the idea of social contracts has been applied to understand the reciprocal, normative expectations between firms and the society (Donaldson 1982; Dunfee et al. 1999). Social contracts can be construed at different hierarchical levels. At the broadest level, social contracts in a business setting may occur between business in an abstract, collective sense and the society in which they are embedded, encompassing the normative idea that firms in general have the right to operate in exchange for contributing positively to societal welfare (Donaldson 1982). At the industry level, social contracts may occur between specific industries and society, with reciprocal expectations shaped by the industry's role (Dunfee et al. 1999). For example, the healthcare industry faces unique ethical expectations due to its critical role in promoting public health (Leisinger 2005). Finally—and most relevant to our theorizing—social contracts may occur at the individual firm level. At this level, social contracts describe reciprocal, normative obligations between individual firms and society. Specifically, we propose that two pillars of social contracts at the firm level—their societal dimension and their reciprocal dimension—provide a framework for understanding why and when consumers perceive collective layoffs due to offshoring (vs. other reasons) to be a more severe social contract violation.

Reciprocity. Social contracts operate on the basis of reciprocity (Donaldson 1982; Dunfee et al. 1999)—supporting others in return for the support received (Gouldner 1960; Molm 2010)—which is a cornerstone of human civilization. Reciprocity influences how individuals interact with each other and sets expectations for them (Falk and Fischbacher 2006; Molm 2010; Trivers 1971), as well as how firms engage with their stakeholders. It is crucial in many economic settings, such as setting fair wages (Kahneman, Knetsch, and Thaler 1986). In the context of social contracts, the principle of reciprocity implies an implicit and mutual give-and-take obligation between firms and members of a given society, such as consumers. Unlike norms, such as injunctive or descriptive social norms (Cialdini, Reno, and Kallgren 1990), social contracts not only specify normative expectations of what society should do for firms or what firms should do for society, but also specify give-and-take relationship dynamics. For instance, consumers and workers should support firms by purchasing

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their products and providing a skilled labor force; in return, firms are expected to support consumers and workers by enhancing consumer welfare, paying corporate taxes, and creating employment opportunities (Donaldson 1982).

Society. While social contracts involve reciprocal relationships, these relationships are not without boundaries. As many scholars have noted, social contracts have a natural boundary: they are generally understood to operate within the bounds of a particular society. For example, Donaldson (1982) defined a social contract in a business context as an implicit contract between firms and members of a given society (vs. a supra-national entity). In the modern world, society is typically defined at the level of the nation-state (Donaldson 1982; Harari 2014; Hsieh 2015; Rawls 2009). And, indeed, consumers perceive social contracts to exist within countries, that is, they tend to be national in scope (Mead et al. 2024). Thus, even though the concept of society can take many forms, such as linguistic or ethnic communities, it is often linked with a common nationality (Anderson 2006; Gellner 2008). Extensive research demonstrates that feelings of national attachment are deeply embedded in people's belief systems (Dalton 2021), significantly shape people's self-concept (Huddy and Khatib 2007), and influence consumer behavior (Verlegh 2007). Accordingly, people tend to be more attached to their country, such as France, than their broader supra-national entities, such as the European Union, even if they might feel devoted to both (Dalton 2021). In line with this, we argue that the reciprocal obligations emanating from the social contract are, to an important extent, valid within the national context.

The concept of society within social contracts can encompass different constituents (Donaldson 1982; Hsieh 2015). Society typically refers to "all of us citizens" but can also encompass specific subgroups, such as workers of a particular firm (Dunfee et al. 1999). In this research, we focus on how citizens (consumers) respond to firms' collective layoff decisions, which harm a specific constituent of society (workers). We argue that such decisions—particularly when driven by offshoring—can lead consumers, even when not directly affected by the layoffs, to perceive a violation of the social contract. For instance, when consumers learn that a firm has laid off domestic workers to relocate production overseas, they may develop more negative attitudes toward the firm, even if they have no direct connection to the affected workers. This, in turn, can reduce buying intentions and amplify consumer boycott intentions (Klein, Smith, and John 2004).

Collective Layoffs and Social Contract Violations

To fulfill their reciprocal obligations emanating from the social contract, firms are expected to create and maintain employment opportunities for members of their society (Donaldson 1982; Hsieh 2015). We argue that collective layoffs due to offshoring represent a particularly strong violation of this reciprocal obligation. All collective layoffs reduce domestic employment opportunities and thus represent a violation of the social contract. However, offshoring-related layoffs not only reduce domestic employment opportunities but also move these opportunities to a foreign country, replacing jobs for local workers with jobs for foreign workers (e.g., replacing American workers with non-American workers). By offshoring, firms thus not only fail to uphold their end of the give-and-take relationship with members of their domestic society (providing domestic employment opportunities) but also "give" employment opportunities to members of a foreign society. Extensive research in related domains documents that such decisions—that is, benefitting another group at the expense of one's own group—can evoke intense negative emotional reactions (Esses et al. 2001; King, Knight, and Hebl 2010; Shackelford and Buss 1996; Stefaniak, Mallett, and Wohl 2020). For instance, research on interpersonal relationships shows that giving expected benefits to parties outside of the focal relationship can evoke intense feelings of betrayal (Shackelford and Buss 1996). Research has also shown that individuals react negatively when others fail to fulfill their reciprocal obligations to their societal group. For instance, people are willing to punish those who do not reciprocate toward their group, even at a personal cost and even if they have not been directly harmed (Falk and Fischbacher 2006; Molm 2010).

Against this background, we argue that a decision that harms members of the domestic society and, at the same time, benefits members of a foreign society should lead to strong perceptions that a firm betrayed the reciprocal relationship emanating from the social contract. In contrast, other forms of collective layoffs, such as outsourcing or automation, should not have the same effect. The benefit for overseas workers at the cost of domestic workers should lead consumers to perceive offshoring as a particularly egregious violation of acceptable corporate behavior, resulting in more negative reactions toward firms that offshore. For example, consumer attitudes toward firms, which are a critical predictor of consumer boycotts (Klein, Smith, and John 2004), sales (Fazio and Petty 2008), and stock returns (Aaker and Jacobson 2001), should decrease more sharply in response to offshoring compared to other types of collective layoffs. Formally,

> **H1:** Consumer reactions to collective layoff announcements are more negative in the case of offshoring, compared to other reasons for collective layoffs.

If perceived social contract violations underlie negative consumer reactions to offshoring, we should further expect that the magnitude of this effect depends on the strength of the social contract. In turn, the strength of the social contract and the moral obligations resulting from it depend on

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the give-and-take relationship between firms and society members (Donaldson 1982). Both firm-level and societal-level factors should therefore influence the severity of perceived social contract breaches. Below, we theorize three such factors affecting the intensity of negative reactions to offshoring to assess the explanatory power of our social contract account. These factors, which center around the concept of "location," are of both theoretical and managerial relevance.

Location of the Collective Layoffs. Given that social contracts are conceptualized at the societal level (Donaldson 1982; Mead et al. 2024; Nussbaum 2004; Rawls 2009), consumers should perceive a stronger social contract with members of their own society (e.g., domestic workers) than with those of a different one. Consumers should thus perceive layoffs affecting overseas workers as a weaker violation of *their* social contract. We, therefore, argue that the extent to which a firm's decision is perceived as a social contract violation should depend on whether it affects workers who are members of the same society (e.g., domestic workers) versus of a foreign society (e.g., foreign workers). Formally,

> **H2:** Consumer reactions to collective layoffs due to offshoring are more negative when the layoff location is domestic versus foreign.

Location of the Firm's HQ. A large body of research documents that a firm's country of origin, typically determined by the location of its HQ (Johansson, Douglas, and Nonaka 1985; Samiee, Shimp, and Sharma 2005), has important economic effects. For example, consumers prefer domestic products over foreign ones (Verlegh 2007); investors favor domestic assets over foreign ones (Chan, Covrig, and Ng 2005); and the share of domestic versus international trade of goods and services is much larger than what normative trade models would predict (Wolf 2000). Based on our social contract account, however, we posit that this positive bias toward firms from consumers' home country (Sharma 2011; Verlegh 2007) should reverse in the context of collective layoffs due to offshoring. The conceptualization of social contracts as implicit, reciprocal agreements and expectations between consumers and firms within a given society not only implies that both the reciprocal and societal dimensions are central to these contracts—but also that these two aspects are interrelated.

Specifically, the strength of the give-and-take relationship (reciprocal dimension) should depend on whether the individual firm is a member of the same society as the consumers (societal dimension). For example, US consumers should be more likely to regard US firms, that is, firms with corporate HQ in the United States, as members of the same society than foreign firms, that is, firms with HQ outside the United States. Consumers should believe that a firm from their society (i.e., a domestic firm) has greater reciprocal obligations than firms from other societies (i.e., a foreign firm). This reasoning aligns with extensive literature showing that people's reciprocal expectations depend on whether they share a common identity with others (e.g., a shared national identity; Balliet, Wu, and De Dreu 2014; Yamagishi and Kiyonari 2000). As a result, we theorize that consumers hold domestic firms to a higher standard than foreign firms when they violate the reciprocal obligation to support members of their domestic society; that is, consumers should react particularly negatively when a domestic (vs. foreign) firm lays off workers and relocates production to another country. Formally,

> **H3:** Consumer reactions to collective layoffs due to offshoring are more negative when the location of the firm's headquarters is domestic versus foreign.

Location of the Firm's Customer Base. Social contracts set expectations about how firms and members of their society should interact. Firms should support domestic workers, for example, by creating domestic jobs. In exchange, local consumers should also support domestic firms. The most common and easiest way to support a firm is to buy its goods or services (Guo, Gruen, and Tang 2017). If members of a society fail to fulfill this expectation, consumers should perceive the resulting social contract as weaker. We therefore argue that firms' perceived obligations emanating from the social contract should depend on the location of their customer base. If the majority of customers are located outside of the focal country, the firm's perceived social contract responsibilities should be less stringent. As a result, such a situation should be seen as a weaker violation of the social contract's idea of reciprocity (Rousseau 1989), and consumers should regard offshoring as a less egregious social contract violation. Formally,

> **H4:** Consumer reactions to collective layoffs due to offshoring are more negative when most customers are domestic versus foreign.

OVERVIEW OF STUDIES

We organize the empirical section of this article into two main parts. In the first part (studies 1–3), we test our prediction that collective layoffs, which harm individual members of society (i.e., workers), lead to particularly negative consumer reactions when they result from offshoring compared to other ways to increase efficiency, such as automation or outsourcing. To do so, we use lab and field data (e.g., online consumer responses, a dataset on collective layoffs in the European Union) and different operationalizations (e.g., consequential choice, attitudinal responses). In the second part (studies 4–6), we provide evidence for our social contract account. Drawing on the

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conceptualization of social contracts as reciprocal obligations between individual firms and members of a given society (e.g., consumers), we experimentally manipulate important aspects of the social contract at the firm level (e.g., testing the role of the firm's HQ location) and the consumer level (e.g., testing the role of the firm's customer base location), investigate the underlying mechanism (e.g., testing for moderated mediation by consumers' perceived social contract violations), and address alternative accounts (e.g., ethnocentrism, product quality). Details on the stimulus materials and preregistrations can be found in web appendices B and C. All data are openly available at https://osf.io/9vjt5/.

STUDY 1: CONSEQUENTIAL CHOICE

We start our empirical investigation with a series of studies examining whether consumer reactions are more negative when collective layoffs are related to offshoring as opposed to other causes (hypothesis 1). We first present evidence for this prediction from two controlled experiments (studies 1 and 2). Subsequently, we offer complementary real-world evidence that aligns with our experimental findings (studies 3A and 3B), thus providing further suggestive evidence for the robustness and generalizability of our main effect prediction.

Study 1 is a consequential choice experiment to test whether consumers choose a brand less when it lays off workers due to offshoring versus automation. Offshoring and automation, which both can replace domestic labor, are among the most important strategies for increasing operational efficiency (Rodrik 2018), can affect workers with similar skill sets, and are frequently in direct competition with one another (with automation becoming increasingly important; Frey 2019). The study was preregistered (https://aspredicted.org/c4kz-vhym.pdf).

Method

We recruited 807 US consumers (M_{age} = 41 years, 54% females) via the online panel Amazon Mechanical Turk (MTurk) who were randomly assigned to one of two conditions using a consequential choice design (for similar designs, see Meyvis and Van Osselaer 2018). Participants were introduced to two US brands that manufacture and sell socks and were told that they could win a $25 voucher for the brand they preferred. Participants were exposed to both brands—Feat. Sock Co. and New Socks—side by side and were provided with exemplary pictures of products and information about each brand (the socks displayed were real products; web appendix B). We manipulated between participants whether one of the brands (i.e., Feat. Sock Co.) laid off workers due to offshoring versus automation, while the other brand (i.e., New Socks) served as a control brand.

In the offshoring condition, participants read that the target (i.e., manipulated) brand had recently decided to move its production from the United States and now relied on foreign workers. Participants in the automation condition read instead that the same brand had recently decided to keep its factory in the United States and now relied on machines. In both conditions, participants were informed that the brand had laid off 475 workers in their US plant. To describe the control brand, participants read that the brand recently decided to change its customer service and now offered self-service options to resolve customer requests. We randomized whether the offshoring (vs. automation) brand or the control brand was presented first. We then measured product choice for the offshoring (vs. automation) brand versus the control brand, which served as our dependent variable. Upon study completion, we conducted a lottery, awarding an online shopping voucher to a randomly determined winner. After data collection was completed, the winning participant received the voucher, and all participants were debriefed.

Results

When the target brand's layoffs were due to offshoring, only 11.7% of the participants chose it (88.3% chose the control brand). In contrast, when the layoffs were due to automation, 26.2% of the participants chose its product (73.8% chose the control brand; $\chi^2(1) = 27.89$, $p < .001$). Thus, as preregistered, information that collective layoffs were due to offshoring (vs. automation) resulted in a significant 14.5% decrease in choice share ($Z = -5.28$, $p < .001$). A logistic regression with choice as the dependent variable, experimental condition as the independent variable, and order of brand presentation, gender, age, and study completion time as covariates produced consistent results; that is, collective layoffs due to offshoring (vs. automation) significantly reduced the participants' propensity to choose the brand ($b = -1.030$, $p < .001$, $CI_{95\%}$ [−1.41, −0.65]). To the best of our knowledge, study 1 thus provides the first (causal) evidence for the negative effect of offshoring on consumer behavior (hypothesis 1).

STUDY 2: GENERALIZABILITY OF THE MAIN EFFECT

Study 2 aims to provide additional supporting evidence for the negative impact of offshoring on consumer reactions (hypothesis 1) by using different control conditions, context, dependent variables, and samples. Specifically, we examine whether consumer reactions to collective layoff announcements due to offshoring are more negative compared to those due to outsourcing (where production is transferred to another firm within the same country) or relocation (where production is transferred within the same firm and the same country). Compared to study 1, we

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sampled consumers from a different country (United Kingdom vs. United States). We presented participants with a media article about a layoff announcement, experimentally varied the justification provided in the article for the layoff decision, and asked them to rate their firm attitude. The study was preregistered (https://aspredicted.org/bfqc-k77k.pdf).

Method

We recruited 601 UK consumers (M_{age} = 35 years, 65% female; Prolific) and randomly assigned them to one of three conditions (collective layoff reason: offshoring vs. outsourcing vs. relocation) using a between-participants design. All participants read a newspaper article that introduced the fictitious UK firm Magan's, a large manufacturer of seeds and other gardening products, and provided further details on the firm, including its founding year, number of employees, and annual revenue (for full text, see web appendix B). In all conditions, participants read that the UK-based firm had announced that it would shut down its main production plant in Manchester and lay off 4,000 workers in order to become more efficient. In the offshoring condition, participants read that the firm would open a new factory abroad, and thus production would move to a foreign country. In the outsourcing and relocation conditions, participants read that the firm would instead hire a contractor in the United Kingdom or open a new factory in the United Kingdom, respectively, thus production would remain in the United Kingdom. Next, participants indicated their attitude toward the firm using an established seven-point scale (Becker-Olsen 2003; "My overall impression of the firm described is… 'bad/good', 'unfavorable/favorable', 'negative/positive'"; $\alpha = 0.94$).

Results

A one-way ANOVA on attitude toward the firm revealed significant differences across conditions ($F(2, 598) = 33.02$, $p < .001$, $\eta^2 = 0.10$, $CI_{95\%} = [0.06, 0.14]$). Participants rated the firm more negatively when collective layoffs were due to offshoring ($M_{offsh.} = 2.75$, SD = 1.31) compared to when they were due to outsourcing ($M_{outs.} = 3.46$, SD = 1.23; $t(598) = -5.57$, $p < .001$, $d = -0.56$, $CI_{95\%} = [-0.76, -0.36]$) or due to relocation ($M_{reloc.} = 3.76$, SD = 1.28; $t(598) = -7.91$, $p < .001$, $d = -0.78$, $CI_{95\%} = [-0.98, -0.57]$). As a side finding, we found that participants rated the firm significantly more negatively when collective layoffs were caused by outsourcing versus relocation ($t(598) = -2.34$, $p = .020$, $d = -0.24$, $CI_{95\%} = [-0.43, -0.04]$). In sum, the results of study 2 provide converging evidence for the distinct effect of offshoring on consumer attitudes.

STUDIES 3A AND 3B: COMPLEMENTARY FIELD EVIDENCE

Studies 3A and 3B aim to complement studies 1 and 2 by offering corroborating field evidence for our prediction that collective layoffs elicit more negative responses when they are linked to offshoring (vs. other causes; hypothesis 1). In both studies, we rely on secondary (correlational) data from different sources—user-generated content and press releases—and analyze the sentiments in these data as a proxy variable for consumers' reactions to offshoring using a sentiment analysis algorithm. This type of sentiment analysis method has been identified as a valid method to extract consumer attitudes from digital content (Schmitt 2019).

Study 3A

For study 3A, we collected data on public consumer responses to layoffs from Reddit, one of the world's largest and most active online communities (Lebrous 2017). We tested whether user commentary is more negative when layoffs are related to offshoring than when they are related to automation. We preregistered the web scraper's Python code, hypothesis, data collection procedure, and data analysis plan (https://aspredicted.org/9zp4-422q.pdf).

Method. To collect data on public consumer reactions to layoffs, we scraped Reddit discussions related to layoffs resulting from offshoring and automation (Boegershausen et al. 2022). On Reddit, users can post content (such as text or a link) within online forums covering a wide range of topics, and other users can comment on the original post.

To identify Reddit posts related to layoffs due to offshoring versus automation, we wrote a code that searched for posts containing a set of pre-specified terms (all search terms were preregistered and paralleled for offshoring and automation; web appendix C). For example, we searched for posts that included terms such as "offshoring" and "layoff" or "automation" and "layoff." This search process resulted in an initial dataset of 1,046 Reddit posts ($N_{offsh.} = 328$; $N_{autom.} = 718$). Following preregistered procedures and criteria, two research assistants, blind to the research question, independently assessed whether each Reddit post in this corpus was indeed related to layoffs due to offshoring or automation (web appendix C). For example, several of the offshoring posts in the initial dataset were excluded because they referred to offshoring in the energy (offshore oil production) or financial sectors (offshore bank accounts). The final dataset consisted of 674 Reddit posts, out of which 480 contained at least one user comment ($N_{offsh.} = 36$; $N_{autom.} = 444$). Next, we scraped all user comments for each of the identified Reddit posts using PRAW, a Reddit API wrapper, resulting in a dataset of 29,045 comments ($N_{offsh.} = 1{,}309$; $N_{autom.} = 27{,}736$). We created a dummy variable to indicate whether the Reddit

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comment pertained to layoffs resulting from offshoring or automation, which served as our independent variable.

To measure the valence of these comments, we extracted a sentiment score from each comment using a popular sentiment analysis algorithm called Valence Aware Dictionary and sEntiment Reasoner (VADER; Hutto and Gilbert 2014). The sentiment score indicates how negative or positive the sentiment of each Reddit comment related to layoffs due to offshoring and automation was (ranging from -1 to $+1$) and served as our dependent variable.

Results. Our dataset of Reddit comments involves a hierarchical data structure. Each comment ($N = 29{,}045$; level 1) is nested in a Reddit post ($N = 480$; level 2). As preregistered, we, therefore, conducted a linear multilevel regression model of the Reddit comments' sentiment score (level 1) on a dummy variable capturing whether the Reddit comments were related to layoffs due to offshoring or automation, with Reddit posts as random effects (level 2). In support of our hypothesis, this analysis revealed that Reddit comments had a significantly lower sentiment score when they were associated with offshoring-related layoffs than automation-related layoffs (model 1: $b = -0.071$, $p = .011$, $CI_{95\%} = [-0.13, -0.02]$; table 1). Based on the estimated fixed effects, the multilevel model predicts that Reddit comments have a mean sentiment score of 0.124 when layoffs were related to automation (see intercept of model 1) and of 0.053 when layoffs were related to offshoring ($b = -0.071$), a 58% decrease in valence.

To examine these results in more detail, we estimated five alternative models (table 1; these additional analyses were not preregistered). Following Gelman and Hill (2006), each model includes different effects at distinct hierarchical levels. Model 2 added the number of words of the Reddit comments as a fixed effect (level 1) to rule out the possibility that the effect of offshoring is driven by the amount of text in the comments (e.g., "offshoring-related posts invite longer comments, and longer comments tend to be more negative"). Model 3 also added the number of upvotes of the Reddit comments as a fixed effect (level 1) to address the alternative account that the effect of offshoring is driven by the popularity of the posts (e.g., "offshoring posts are less popular, and less popular posts tend to invite more negative comments"). Model 4 added the "subreddit" of each Reddit post (i.e., the different communities in which the Reddit posts are embedded) as a nested random effect ($N = 155$; level 3) to account for the variance in the valence of Reddit comments due to the different communities of users (e.g., "communities discussing the topic of offshoring tend to write more negative comments"). Model 5 also added the year in which the Reddit comments were posted within a subreddit as a crossed random effect ($N = 14$; level 4) to account for a possible confounding effect of time.

Across all these models, we found a significant and negative coefficient for offshoring (model 2: $b = -0.066$, $p = .014$, $CI_{95\%} = [-0.12, -0.01]$; model 3: $b = -0.066$, $p = .014$, $CI_{95\%} = [-0.12, -0.01]$; model 4: $b = -0.061$, $p = .031$, $CI_{95\%} = [-0.12, -0.01]$; model 5: $b = -0.061$, $p = 0.031$, $CI_{95\%} = [-0.12, -0.01]$). That is, including covariates of comment-specific characteristics and random effects at different levels of our hierarchical data structure,

TABLE 1

STUDY 3A RESULTS

	Sentiment score of Reddit comments				
	Model 1	Model 2	Model 3	Model 4	Model 5
Predictors	(Preregistered)	(Not preregistered)			
Offshoring[a]	−0.071**	−0.066**	−0.066**	−0.061**	−0.061**
	(0.028)	(0.027)	(0.027)	(0.028)	(0.028)
Number of words of the Reddit comment		0.001***	0.001***	0.001***	0.001***
		(0.000)	(0.000)	(0.000)	(0.000)
Number of upvotes of the Reddit comment[b]			−0.001	−0.001	−0.001
			(0.003)	(0.003)	(0.003)
Intercept	0.124***	0.074***	0.074***	0.080***	0.080***
	(0.008)	(0.008)	(0.008)	(0.010)	(0.010)
Random effects					
Reddit post *N*	480	480	480	480	480
Subreddit *N*				155	155
Year *N*					14

NOTES.—$N = 29{,}045$. Standard errors are in parentheses.
[a]Offshoring dummy is to be interpreted as relative differences to the category automation.
[b]Measured in units of 50.
***$p < .01$.
**$p < .05$.

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we consistently find that the estimated sentiment of Reddit comments is significantly more negative when they are related to layoffs resulting from offshoring (vs. automation). Next, we examined the possibility that the effect is not driven by offshoring generating negative reactions among consumers, as we predicted, but rather by automation generating especially positive reactions (e.g., the intercept in model 1 was positive; table 1). To explore this potential alternative explanation, we scraped a random sample of 1,046 Reddit posts (matching the originally preregistered number of Reddit posts) and scraped their user comments (see web appendix D for the code). We then compared the sentiment of these randomly selected control comments with the sentiment of the comments related to automation and offshoring. A linear multilevel regression model (level 2: Reddit post) revealed that the comments on the random posts were significantly more positive than both the comments on posts about offshoring ($b = -0.141$, $p < .001$, $CI_{95\%} = [-0.20, -0.08]$) and automation ($b = -0.066$, $p < .001$, $CI_{95\%} = [-0.09, -0.04]$).

We repeated this analysis with the same four model specifications depicted in table 1 and obtained consistent results for comments related to offshoring (all ps $< .001$) and automation (all ps $< .001$). These analyses speak against the possibility that the results are driven by Reddit users' potential positivity toward automation. Overall, study 3A provides real-world evidence from observational data supporting the notion that layoffs related to offshoring elicit more negative consumer responses than those related to automation.

Study 3B

In study 3B, we tested the hypothesized negative effect of layoffs resulting from offshoring using a similar approach as in study 3A but a different data source. Specifically, we assembled a comprehensive dataset on European collective layoffs that allowed us to assess whether firms' collective layoff announcements receive more negative media coverage when they result from offshoring than when they result from the decision to relocate or outsource production within the same country. Consistent with studies in communications research, we use media coverage as a proxy for consumer sentiment (Erikson and Tedin 2015; Hopkins, Kim, and Kim 2017). Previous research has demonstrated that media coverage, to an important extent, reflects public opinion (Haller and Norpoth 1997; Soroka, Stecula, and Wlezien 2015). For instance, Hopkins et al. (2017) suggest that newspaper coverage reflects consumer sentiment about the economy.

Method. We analyzed press coverage of collective layoff announcements, utilizing data from the European Monitoring Center of Change (EMCC; Eurofound 2018), which maintains a database documenting collective layoff announcements that occurred across all European Union countries from 2002 to 2018, comprising a total of 23,189 announcements (collective layoffs, according to the EMCC, involve the elimination of a minimum of 100 jobs, or impacting 10% of the workforce in sites with more than 250 people). The database includes information on the reason behind the collective layoffs (e.g., offshoring), quantitative details concerning the scale of the collective layoffs (e.g., the number of job losses announced), and text-based summaries of available media coverage on the collective layoffs (e.g., newspaper articles on why the layoffs occurred, on reactions of labor unions, and other consequences of the announcement). These textual summaries are generated by Eurofound correspondents and are based on the content from a broad range of daily press and online sources (for a concrete example, see web appendix D).

To obtain data on collective layoffs involving firms either relocating production to another country or retaining production within the same country, we selected cases from this dataset that were attributed to (i) offshoring (i.e., layoffs where production is relocated to another country; $N = 881$), (ii) outsourcing (i.e., layoffs where production is subcontracted to another company but remains in the same country; $N = 102$), and (iii) relocation (i.e., layoffs where production remains in the same company and the same country; $N = 278$). We created dummy variables to capture whether the firms' collective layoff was due to offshoring, outsourcing, or relocation, which served as our independent variables. It is important to note that outsourcing and relocation may elicit perceptions of social contract violations within the immediate community. However, we contend that these negative reactions should be more intense and widespread in the case of offshoring. We measured the valence and intensity of the reactions to these three types of collective layoffs using the same method as in study 3A. That is, we extracted a sentiment score from the (textual) media coverage summary of each collective layoff event using VADER. The sentiment score indicates how negative or positive the sentiment of the media coverage of each layoff case was (ranging from -1 to $+1$) and served as our dependent variable.

Results. The sentiment score of media coverage, our proxy for the valence of public reactions to collective layoffs, was significantly more negative when the firms' collective layoffs were due to offshoring ($M = -0.11$, SD = 0.50) than when they were due to outsourcing ($M = 0.06$, SD = 0.53; $t(981) = -3.21$, $p = .001$, $d = -0.34$, $CI_{95\%} = [-0.54, -0.13]$) or relocation ($M = -0.01$, SD = 0.51; $t(1157) = -2.92$, $p = .004$, $d = -0.20$, $CI_{95\%} = [-0.34, -0.07]$). There was no significant difference when the firms' collective layoffs were due to outsourcing compared to relocation ($t(378) = 1.14$, $p = .257$, $d = 0.13$, $CI_{95\%} = [-0.10, 0.36]$).

To further examine this pattern of results, we conducted four ordinary least squares (OLS) regression analyses with

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TABLE 2

STUDY 3B RESULTS

	Sentiment score of media coverage			
Predictors	Model 1	Model 2	Model 3	Model 4
Outsourcing[a]	0.149***	0.147**	0.146**	0.131**
	(0.053)	(0.058)	(0.057)	(0.057)
Relocation[a]	0.087**	0.079**	0.081**	0.058
	(0.035)	(0.036)	(0.036)	(0.036)
Number of announced layoffs[b]	0.005**	0.005**	0.004*	0.002
	(0.002)	(0.002)	(0.002)	(0.002)
Number of words in the qualitative layoff description			0.001***	0.001***
			(0.000)	(0.000)
Occupational sector	No	Yes	Yes	Yes
Year	No	No	No	Yes
Country	No	No	No	Yes
Intercept	−0.125***	−0.044	−0.139	0.063
	(0.019)	(0.097)	(0.099)	(0.164)
R-squared	0.01	0.04	0.05	0.13

NOTES.—$N = 1{,}242$. Standard errors in parentheses.
[a]Outsourcing and relocation dummies are to be interpreted as relative differences to the category offshoring.
[b]Measured in units of 100.
***$p < .01$.
**$p < .05$.
*$p < .10$.

the sentiment score of media coverage as the dependent variable (see table 2). Each model controls for an increasing number of factors. Model 1 added the number of announced layoffs to rule out the possibility that the effect of offshoring is driven by the number of jobs lost (e.g., "media coverage on offshoring covers larger layoff cases, and larger layoff cases tend to trigger more negative media coverage"). Model 2 added controls for the occupational sector to rule out the possibility that the effect of offshoring is driven by the sector in which the job losses occurred (e.g., "media coverage on offshoring focuses more strongly on specific sectors, and these sectors happen to receive more negative coverage"). Model 3 also added the number of words in the qualitative layoff description to address the alternative account that the effect of offshoring is driven by the amount of text in the media coverage (e.g., "media coverage on offshoring invites longer texts, and longer texts tend to be more negative"). Model 4 added the year of the layoff announcement and the country where the layoffs occurred to account for possible confounding effects of country and time. Across models 1–3, we found significant and positive coefficients for both outsourcing (model 1: $b = 0.149$, $p = .005$, $CI_{95\%} = [0.05, 0.25]$; model 2: $b = 0.147$, $p = .011$, $CI_{95\%} = [0.03, 0.26]$; model 3: $b = 0.146$, $p = .011$, $CI_{95\%} = [0.03, 0.26]$) and relocation (model 1: $b = 0.087$, $p = .014$, $CI_{95\%} = [0.02, 0.16]$; model 2: $b = 0.079$, $p = .028$, $CI_{95\%} = [0.01, 0.15]$; model 3: $b = 0.081$, $p = .023$, $CI_{95\%} = [0.01, 0.15]$). These results indicate that the estimated sentiment score of the media coverage was less negative when the firms' collective layoffs were due to outsourcing or relocation than when they were due to offshoring. In model 4, we found the same pattern; but while the coefficient of outsourcing remained significant ($b = 0.131$, $p = .023$, $CI_{95\%} = [0.02, 0.24]$), that for relocation was directional but non-significant ($b = 0.058$, $p = .111$, $CI_{95\%} = [-0.01, 0.13]$).

Consistent with our previous experimental results, study 3B supports the notion that layoffs related to offshoring trigger more negative public reactions than collective layoff announcements related to outsourcing and relocation within the country. While we acknowledge that our dependent variable is only a proxy for public opinion and that media coverage might anticipate negative reactions to offshoring by the public and adapt their writing accordingly, our dataset has the advantage of covering over a decade of media reports on large-scale restructuring activities across all member countries of the European Union.

Discussion of Studies 1–3

Overall, the results of studies 1–3 provide converging evidence in support of hypothesis 1. Using both experimental and field data, we document that consumers react more negatively when collective layoffs are due to offshoring than when collective layoffs are due to several other common efficiency-increasing layoff reasons (automation, relocation, and outsourcing). However, these studies do not offer process insight into our social contract account. The main aim of studies 4–6 is to provide evidence for our social contract account through moderation and mediation, and address alternative explanations. Studies 4 and 5 test

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whether the negative effect of offshoring increases when the layoff location is domestic (vs. foreign; hypothesis 2) and when the offshoring firm is domestic (vs. foreign; hypothesis 3). Finally, study 6 tests whether reactions to offshoring depend on whether most customers are domestic (vs. foreign; hypothesis 4). Additionally, we address alternative explanations for consumer reactions to offshoring previously suggested in the literature, including product quality (study 4; Whitaker et al. 2006), ethnocentrism, and patriotism (studies 5B and 6; Durvasula and Lysonski 2008; Thelen et al. 2011), and social norms (study 6B; Cialdini et al. 1990).

STUDY 4: LOCATION OF THE LAYOFFS

Study 4 tests the prediction that consumer reactions to offshoring are moderated by the layoff location (hypothesis 2). If the negative effect of offshoring is driven by social contract violations, then it should be less pronounced (or disappear) when perceptions of the social contract are weak (or when there is no social contract to violate). Based on our social contract account, we argue that when a firm is offshoring production from one foreign country to another, perceptions of social contract violations should be weaker, as the decision has little to no relevance or ramifications for members of one's society. Our theory, therefore, predicts that the negative effect of offshoring should be diminished in this case.

This study further aims to rule out another explanation proposed by previous literature: product quality (see table A1 in web appendix A). According to this account, consumers view firms that offshore more negatively because product quality suffers whenever production moves from a developed economy to a developing one, regardless of whether the developed economy is the participants' home country. Thus, as long as products from the two countries are perceived to be of similar quality, a product quality explanation argues that consumers should evaluate a firm similarly regardless of whether it offshores (vs. automates) production in their home country or in a foreign country. In both cases, offshoring (vs. automation) should be associated with a stronger decrease in perceived product quality. However, if our theory is correct and reactions to offshoring are primarily driven by perceived violations of a social contract between firms and members of their society, then consumers should hold a more negative view of a firm that decides to offshore (vs. automate) production in their home country (affecting members of their own society) rather than in a foreign country (affecting members of another society).

Method

We recruited 402 US consumers (M_{age} = 40 years, 52% female; MTurk) and randomly assigned them to one of four conditions in a 2 (layoff reason: offshoring vs. automation) × 2 (layoff location: domestic vs. foreign) between-participants design. In all conditions, participants read a generic description of a large manufacturer of industrial goods, which supplies many different industries such as the automotive and aviation industry (for details, see web appendix B). In the domestic (vs. foreign) layoff location condition, the firm was described as a US-(vs. Australian-) based company with its main production in the United States (vs. Australia). We selected Australia for the foreign condition because of its highly developed economy, presence of many multinational companies, reputation for manufacturing quality, and geopolitical alignment with the United States. These characteristics help mitigate several concerns that may emerge when selecting a non-Western or developing country, including inferences about product quality. A pretest (N = 121, M_{age} = 40 years, 51% female; MTurk) confirmed that there were no significant differences in the perceived product quality between United States and Australian firms ($M_{dom.}$ = 5.60, SD = 0.90 vs. $M_{for.}$ = 5.53, SD = 1.07; $t(119)$ = 0.44, p = .659, d = 0.08, $CI_{95\%}$ = [−0.28, 0.44]; web appendix E). This finding rules out the possibility that the results are driven by participants having different initial quality perceptions of products made in the United States versus Australia.

In the offshoring condition, participants read that the United States (vs. Australian) firm had recently decided to move its main production from the United States (vs. Australia) to overseas and rely on foreign workers. In the automation condition, participants read that the firm had recently decided to keep its main production in the United States (vs. Australia) and rely on automated work done by machines. In all conditions, participants were informed that because of the firm's restructuring, the firm would lay off 4,000 workers. Next, we measured participants' attitude toward the firm as in study 2 (α = 0.97).

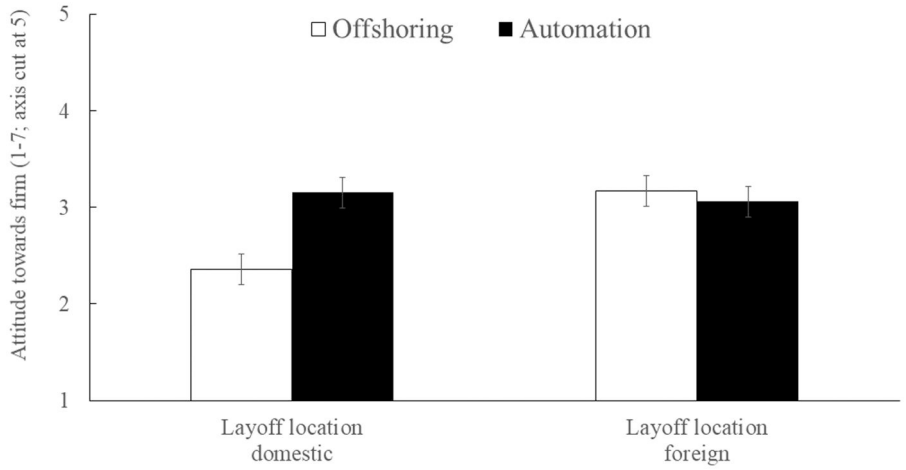
Results

A two-way ANOVA on firm attitude revealed a main effect of collective layoffs due to offshoring (vs. automation; $M_{offsh.}$ = 2.76, SD = 1.68 vs. $M_{autom.}$ = 3.11, SD = 1.55; $F(1, 398)$ = 4.67, p = .031, η^2 = 0.01, $CI_{95\%}$ = [0.00, 0.04]), and a significant effect of domestic (vs. foreign) layoff location ($M_{dom.}$ = 2.75, SD = 1.70 vs. $M_{for.}$ = 3.11, SD = 1.54; $F(1, 398)$ = 5.08, p = .025, η^2 = 0.01, $CI_{95\%}$ = [0.00, 0.04]). More importantly, the two-way interaction was significant ($F(1, 398)$ = 8.01, p = .005, η^2 = 0.02, $CI_{95\%}$ = [0.00, 0.05]; figure 1). As expected, the negative effect of offshoring was significantly stronger when the layoff location was domestic rather than foreign. When the layoffs occurred in their home country, participants rated the firm significantly more negatively in the offshoring (vs. automation) condition ($M_{offsh.}$ = 2.36, SD = 1.60 vs. $M_{autom.}$ = 3.15, SD = 1.70; $F(1, 398)$ =

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FIGURE 1

INTERACTION BETWEEN LAYOFF REASON AND LAYOFF LOCATION



12.52, $p < .001$, $d = -0.48$, $CI_{95\%} = [-0.76, -0.20]$). When the layoffs occurred in a foreign country, however, there were no significant differences between the offshoring (vs. automation) condition in terms of firm attitude ($M_{offsh.} = 3.17$, SD = 1.67 vs. $M_{autom.} = 3.06$, SD = 1.39; $F(1, 398) = 0.22$, $p = .637$, $d = 0.07$, $CI_{95\%} = [-0.21, 0.35]$).

The results of this study demonstrate that the negative effect of offshoring (vs. automation) is stronger when a firm laid off workers in a domestic (vs. foreign) location. This finding materializes even though our pretest revealed no significant differences in product quality perceptions. It is therefore unlikely that perceived differences in product quality can explain the observed effects of offshoring.

STUDY 5: LOCATION OF THE FIRM HQ

Study 5 has two aims. The first is to test our prediction that consumer reactions to offshoring are moderated by the location of the firm's HQ (hypothesis 3). We argue that consumer reactions to offshoring are grounded in the social contracts between firms and members of their society. Consequently, these reactions should be more negative when the firm's HQ is domestic rather than foreign, as domestic firms are presumed to have a stronger social contract with domestic consumers and workers. To test this prediction, we contrast collective layoffs due to offshoring with collective layoffs due to declining demand, which is a frequent reason for collective layoffs (Landsman and Stremersch 2020; US Bureau of Labor Statistics 2012), and one that should involve weaker perceptions of social contract violations (as the collective layoff can be attributed to external market forces). The second aim of study 5 is to test our predicted process that the negative effect of offshoring is mediated by perceived social contract violations. We therefore directly measured consumer perceptions of the strength of social contract violations. The study was preregistered (https://aspredicted.org/kzrg-sw24.pdf).

Method

We recruited 1,002 UK consumers ($M_{age} = 40$ years, 53% female; Prolific) and randomly assigned them to one of four conditions in a 2 (layoff reason: offshoring vs. declining demand) × 2 (location of the HQ: domestic vs. foreign firm) between-participants design. All participants read the generic description of a large manufacturer of industrial goods (the same as in study 4) with its main production location in the United Kingdom, the home country of the participants. To manipulate the location of the HQ, participants read that the HQ was either located in the United Kingdom (i.e., representing a domestic firm) or overseas (i.e., representing a foreign firm).

In the offshoring condition, participants read that the firm had recently decided to move its main production overseas. Participants further read that the firm planned to open a new production plant abroad and rely on foreign workers. In the declining demand condition, participants read that the firm had recently decided to keep its main production location in the United Kingdom. Participants further read that the firm plans to restructure its existing production plant in the United Kingdom due to a severe drop in sales. In all conditions, participants were informed that because of the firm's restructuring, the firm would lay off 4,000 workers at its UK plant. To hold quality perceptions constant, participants in all conditions moreover read

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that the quality of the production will not change. As our dependent variable, we measured firm attitude as before ($\alpha = 0.97$). As our process variable, we subsequently measured the extent to which participants perceived the collective layoff as a social contract violation using three items ("The firm fails to fulfill an unwritten obligation to the UK community in return for the support it receives from the UK community," "The firm is violating what it should do for the UK community in exchange for what the UK community is doing for it," and "The firm is violating an unwritten agreement about what it should do for the UK community"; 1 = strongly disagree, 7 = strongly agree; $\alpha = 0.93$). We derived these three items based on the core elements of the definition of social contracts (Dunfee et al. 1999; Wempe 2008).

Results

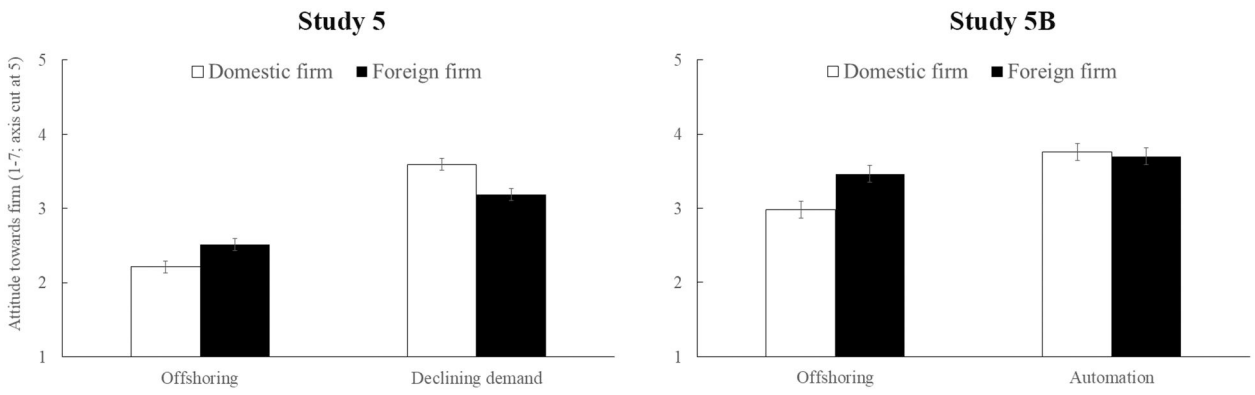
A two-way ANOVA on firm attitude revealed a main effect of layoffs due to offshoring (vs. declining demand; $M_{offsh.} = 2.36$, SD = 1.30 vs. $M_{decl.\ dem.} = 3.39$, SD = 1.30; $F(1, 998) = 159.83$, $p < .001$, $\eta^2 = 0.14$, $CI_{95\%} = [0.10, 0.18]$). We observed no main effect of the firm's HQ location ($F(1, 998) = 0.41$, $p = .523$, $\eta^2 = 0.00$, $CI_{95\%} = [0.00, 0.01]$). Crucially, and as preregistered, we found a significant two-way interaction ($F(1, 998) = 18.76$, $p < .001$, $\eta^2 = 0.02$, $CI_{95\%} = [0.01, 0.04]$; left panel of figure 2).

The negative effect of offshoring on firm attitude was significantly stronger when the firm's HQ location was domestic (vs. foreign); that is, participants rated the offshoring firm significantly more negatively in the domestic (vs. foreign) HQ condition ($M_{dom.} = 2.21$, SD = 1.26 vs. $M_{for.} = 2.51$, SD = 1.33; $F(1, 998) = 6.83$, $p = .009$, $d = -0.23$, $CI_{95\%} = [-0.41, -0.06]$). In contrast, this pattern reversed when collective layoffs were due to declining demand. Participants rated a firm with a domestic (vs. foreign) HQ location significantly more positively when it laid off workers due to declining demand ($M_{dom.} = 3.59$, SD = 1.26 vs. $M_{for.} = 3.19$, SD = 1.31; $F(1, 998) = 12.33$, $p < .001$, $d = 0.32$, $CI_{95\%} = [0.14, 0.49]$). While not central to our theorizing, the latter simple effect is a replication of the well-established home country bias (Sharma 2011; Verlegh 2007), which, in the absence of a strong social contract violation, appears to be driving consumer attitudes even in the context of a collective layoff.

We found the same pattern of results for perceived social contract violations (layoff reason: $F(1, 998) = 124.82$, $p < .001$, $\eta^2 = 0.11$, $CI_{95\%} = [0.08, 0.15]$; interaction: $F(1, 998) = 43.44$, $p < .001$, $\eta^2 = 0.04$, $CI_{95\%} = [0.02, 0.07]$; see web appendix E for detailed analyses). As preregistered, a moderated mediation analysis confirmed the mediating role of perceived social contract violations (index: $b = -0.514$, SE = 0.09, $CI_{95\%} = [-0.68, -0.34]$). The indirect effect of layoffs due to offshoring (vs. declining demand) on firm attitude through perceived social contract violations was significantly stronger when the firm was domestic ($b = -0.692$, SE = 0.07, $CI_{95\%} = [-0.83, -0.55]$) versus foreign ($b = -0.179$, SE = 0.06, $CI_{95\%} = [-0.29, -0.07]$; the two CIs do not overlap). The results thus support our theorizing. Following Pieters (2017), we examined the unconfoundedness and distinctiveness conditions for moderated mediation (for a detailed discussion of the reliability condition, see web appendix E). A sensitivity analysis (Imai, Keele, and Yamamoto 2010) demonstrated that the moderated mediation effect would become insignificant if omitted variables reduced its original magnitude by more than 85% (sensitivity parameter $\rho = -0.48$; see web appendix E for details). This suggests that the original negative moderated mediation effect is relatively robust to the existence of unobserved confounders (Imai et al. 2010). A two-factor model with the respective measures for perceived social contract violations and firm attitude on

FIGURE 2

INTERACTION BETWEEN FIRM HEADQUARTERS AND LAYOFF REASON



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separate factors fitted significantly better than a one-factor model ($\chi^2(1) = 1981.67$, $p < .001$). Both the mediator and the outcome passed the strict criterion test (perceived social contract violations AVE = 0.82; firm attitude AVE = 0.91; R^2 between latent mediator and outcome = 0.33). Thus, discriminant validity for the mediator and outcome constructs can be accepted. Finally, we note that this study not only provides mediation evidence for our predicted process but also moderation evidence by manipulating an important antecedent of social contract violation (i.e., the firm's HQ).

Follow-up Study 5B. We conducted an additional preregistered study, study 5B ($N = 1{,}066$, $M_{age} = 41$ years, 52% female; MTurk; details reported in web appendix E; https://aspredicted.org/3gkv-ys6n.pdf) that aimed to (i) conceptually replicate the results of study 5 using a different sample (i.e., US consumers) and a different control condition (i.e., automation) and (ii) test whether the predicted effect can be explained by individuals' ethnocentrism ($\alpha = 0.95$; Neuliep and McCroskey 1997) and patriotism ($\alpha = 0.86$; Federico, Golec, and Dial 2005), two accounts mentioned in previous literature as explanations of consumer reactions to offshoring (Durvasula and Lysonski 2008; Thelen et al. 2011). For example, individual differences in ethnocentrism or patriotism may amplify the effect of offshoring when a domestic company moves production offshore to benefit foreign workers. If so, then we would expect that ethnocentrism or patriotism moderate the interaction effect between the firm's HQ and offshoring (Simonsohn 2019).

Consistent with the previous results and supporting hypothesis 3, we find that participants react more negatively to collective layoffs due to offshoring (vs. automation) when the firm is domestic (vs. foreign; interaction: $F(1, 1062) = 5.57$, $p = .018$, $\eta^2 = 0.01$, $CI_{95\%} = [0.00, 0.02]$; see right panel of figure 2). Moreover, we find that neither ethnocentrism nor patriotism significantly moderated this significant two-way interaction effect between our two experimental factors (all three-way interactions were not significant; all ps $> .192$; see web appendix E for detailed analyses). This lack of a significant three-way interaction suggests that variations in ethnocentrism and patriotism are unlikely to explain why the negative effect of offshoring is stronger when the firm's HQ is domestic (vs. foreign).

STUDY 6: LOCATION OF THE FIRM'S CUSTOMER BASE

In study 6, we focus our attention on offshoring only and investigate whether consumers' reactions to offshoring depend on the location of the customer base (hypothesis 4). Social contracts define implicit give-and-take relationships between firms and members of a given society, such as consumers. Consumers should therefore perceive firms to violate the social contract more strongly when the majority of their customers is located in the firm's home country rather than in a foreign country. This is because, in the former case, consumers "fulfill" their part of the give-and-take relationship. We again also test whether ethnocentrism and patriotism could serve as alternative explanations. The study was preregistered (https://aspredicted.org/p98g-y8p2.pdf).

Method

We recruited 763 UK consumers ($M_{age} = 41$ years, 64% female; Prolific) and randomly assigned them to one of three conditions (customer location: foreign vs. domestic vs. control) of an experiment using a between-participants design. All participants were introduced to the same UK-based firm as in study 2. In all conditions, participants read that the firm had decided to offshore jobs abroad and lay off 4,000 workers. Moreover, we added a short description of the customer base of the firm, which was our manipulation. In the foreign customer location condition, participants read that more than 90% of the firm's customers were not from the United Kingdom (i.e., not from the home country of the participants and the firm described). In the domestic customer location condition, participants read that more than 90% of the firm's customers were from the United Kingdom. In the control condition, participants instead received no information about the firm's customer base. We then measured participants' attitude toward the firm ($\alpha = 0.97$), the extent to which participants perceived the collective layoffs as a social contract violation ($\alpha = 0.91$), and participants' ethnocentrism ($\alpha = 0.83$) and patriotism ($\alpha = 0.83$) as before.

Results

An ANOVA on firm attitude produced a significant difference across conditions ($F(2, 760) = 33.82$, $p < .001$, $\eta^2 = 0.08$, $CI_{95\%} = [0.05, 0.12]$). As preregistered, participants rated the offshoring firm less negatively in the foreign customer location condition ($M_{for.} = 3.52$, SD = 1.48) than in the domestic customer location condition ($M_{dom.} = 2.66$, SD = 1.44; $t(760) = 6.92$, $p < .001$, $d = 0.59$, $CI_{95\%} = [0.41, 0.77]$) or the control condition, in which participants received no information about the location of customers ($M_{contr.} = 2.61$, SD = 1.30; $t(760) = 7.31$, $p < .001$, $d = 0.66$, $CI_{95\%} = [0.48, 0.83]$). We found no significant difference between the two latter conditions ($t(760) = 0.37$, $p = .708$, $d = 0.03$, $CI_{95\%} = [-0.14, 0.21]$). The pattern of results for perceived social contract violations was consistent ($M_{for.} = 3.93$, SD = 1.60; $M_{dom.} = 5.19$, SD = 1.33; $M_{contr.} = 5.22$, SD = 1.24; $F(2, 760) = 71.50$, $p < .001$, $\eta^2 = 0.16$, $CI_{95\%} = [0.11, 0.20]$).

We next tested whether the effect of customer location on firm attitude is mediated by perceived social contract violations, adding participants' ethnocentrism and

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patriotism as covariates into the model. Controlling for these alternative explanations, this mediation model revealed that perceived social contract violations can explain why participants rated the offshoring firm less negatively in the foreign customer location condition than in the domestic customer location condition ($b = -0.598$, SE $= 0.08$, $CI_{95\%} = [-0.75, -0.45]$) or than in the control condition ($b = -0.608$, SE $= 0.08$, $CI_{95\%} = [-0.76, -0.45]$). That is, participants perceived that offshoring violated the social contract less when most customers were foreign ($M_{for.} = 3.93$, SD $= 1.60$) than when they were domestic ($M_{dom.} = 5.19$, SD $= 1.33$; $t(760) = -10.21$, $p < .001$, $d = -0.86$, $CI_{95\%} = [-1.04, -0.68]$) or when no information about the customer location was provided ($M_{contr.} = 5.22$, SD $= 1.24$; $t(760) = -10.50$, $p < .001$, $d = -0.91$, $CI_{95\%} = [-1.09, -0.73]$), which, in turn, drove participants' attitude toward the offshoring firm. These results thus support our hypothesis 4, controlling for ethnocentrism and patriotism. Moreover, including these alternative mechanisms helps to make the unconfoundedness condition for a meaningful mediation more plausible (Fiedler, Schott, and Meiser 2011). Sensitivity analyses demonstrated that the mediation findings presented in this study appear robust ($\rho s = -0.47$; Imai et al. 2010). Discriminant validity for the mediator and outcome constructs can be accepted (a two-factor model fitted significantly better than a one-factor model; $\chi^2(1) = 1119.28$, $p < .001$; AVEs ≥ 0.77; R^2 between latent mediator and outcome $= 0.31$; for a detailed discussion of the directionality, reliability, and power conditions, see web appendix E).

Follow-up Study 6B. Study 6B ($N = 120$ UK consumers; $M_{age} = 38$ years, 61% female; Prolific) used the same experimental stimuli as study 6 and two of its experimental conditions (customer location: foreign vs. domestic; between-subjects). We aimed to test whether our social contract account offers more explanatory power than, and is empirically distinct from, a social norm account to explain consumer reactions to offshoring. Social norms are conceptually related to social contracts (Elster 1989), but, unlike social norms, social contracts involve an implicit give-and-take relationship between exchange parties (Dunfee et al. 1999; Elster 1989). Based on this conceptual difference, and the core elements of the definition of social norms (Cialdini et al. 1990; Elster 1989), we measured perceived social norm violations with three Likert items ("The firm is violating generally accepted standards of behavior in the UK," "The firm does not conform with the typical behavior of UK firms," and "The firm's behavior is disapproved by most people in the UK"; 1 = strongly disagree, 7 = strongly agree; $\alpha = 0.67$). Consistent with our conceptual expectations, an exploratory factor analysis with principal component analysis and varimax rotation produced a two-factor solution (web appendix E). The factor loading of one item of the social norms scale ("The firm's behavior is disapproved by most people in the UK") was equal to the benchmark value of 0.50 (Hair et al. 2009). Repeating all analyses presented below without this item produced consistent results (web appendix E).

Consistent with our previous findings, participants rated the offshoring firm less negatively when most customers were foreign ($M_{for.} = 3.26$, SD $= 1.37$ vs. $M_{dom.} = 2.58$, SD $= 1.27$; $t(118) = 2.82$, $p = .006$, $d = 0.52$, $CI_{95\%} = [0.15, 0.88]$) and perceived that it violated the social contract less when most customers were foreign ($M_{for.} = 4.16$, SD $= 1.67$ vs. $M_{dom.} = 5.46$, SD $= 1.10$; $t(118) = -5.06$, $p < .001$, $d = -0.92$, $CI_{95\%} = [-1.30, -0.54]$). In contrast, we found no difference in terms of social norm violation ($p = .781$). A multiple mediation model revealed only a significant mediation effect of perceived social contract violations (indirect effect: $b = -0.521$, SE $= 0.18$, $CI_{95\%} = [-0.87, -0.17]$) but not of perceived social norm violations (indirect effect: $b = 0.002$, SE $= 0.01$, $CI_{95\%} = [-0.02, 0.02]$). A sensitivity analysis with perceived social norm violations as a covariate demonstrated that the mediation findings appear relatively robust to unobserved confounders ($\rho = -0.37$). Perceived social contract and social norm violations and firm attitude passed the strict criterion test (AVE's ≥ 0.50; R^2 between latent constructs ≤ 0.30). These results suggest that we can empirically distinguish between social contract violations and social norm violations, and that our social contract account is more effective in explaining the observed effect.

GENERAL DISCUSSION

Collective layoffs are a widespread phenomenon in Western societies and are often the result of firms' efforts to reduce costs and increase efficiency. Such events tend to receive prominent media coverage and can have serious negative repercussions on how individuals think and feel about companies (Landsman and Stremersch 2020). However, prior consumer research has not provided a comprehensive account of consumer reactions to collective layoff decisions. One widely used strategy to increase efficiency is offshoring—laying off local workers and moving the production abroad—a practice that has sparked heated and controversial debates in the media and political arenas. In this research, we propose a theory based on social contract violations and examine why consumers are seemingly reacting more negatively to offshoring compared to other efficiency-enhancing strategies that entail collective layoffs.

Across seven experimental studies on consumer responses ($N = 4{,}761$), analyses of user-generated content on Reddit ($N = 29{,}045$), and media reports on European collective layoffs ($N = 1{,}261$), we consistently observe more negative responses when firms laid off workers due to offshoring than due to other efficiency-driven reasons such as automation, aligning with our first hypothesis.

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These findings remain consistent across different participant populations, stimuli, measures, designs, and—keeping the number of domestic job losses constant—four different layoff reasons often related to a firm's pursuit for greater efficiency and cost reduction: outsourcing, relocation, declining demand, and, most prominently, automation.

Our experimental studies provide evidence for the role of perceived social contract violations in explaining our findings, utilizing mediation, moderation, and moderated mediation approaches. As social contracts imply a reciprocal relationship between firms and members of their society (e.g., consumers), we theorized that both firm-related and consumer-related factors should affect consumer perceptions of social contract violations. In line with this reasoning, we find that the negative effect of offshoring is stronger when offshoring affects workers in the consumers' home (vs. foreign) country (study 4; hypothesis 2), when the offshoring firm is domestic (vs. foreign; studies 5 and 5B; hypothesis 3), and when most customers are domestic (vs. foreign; studies 6 and 6B, hypothesis 4). Below, we discuss the theoretical and practical implications of the studies, as well as highlight limitations and future research opportunities.

Theoretical and Practical Implications

First, our study introduces a framework for understanding consumer responses to offshoring—one of the most controversial and politicized aspects of globalization (Owen 2017). Our theory hinges on the idea that when a firm lays off workers and moves production to a foreign country, it breaches a fundamental element of the give-and-take relationship inherent in the social contract: the normative expectation that firms (should) support members of their society. Our account allows predictions that extend beyond existing theories; it also explains greater variance in consumer attitudes toward offshoring firms than other accounts based, for example, on ethnocentrism or product quality. As such, it provides a comprehensive theory to enhance our understanding of the factors affecting consumer responses to collective layoffs and elucidates why and when consumers react more negatively to offshoring than to other efficiency-enhancing strategies. In addition, our research delineates the unique impact of offshoring, distinguishing it from the general effects of layoffs—a distinction not allowed by the design of previous research (Grappi et al. 2013).

Second, our research advances the literature on social contracts by shedding light on the formation and violation of social contracts between firms and consumers. In doing so, this work advances existing research in marketing (Malhotra et al. 2017; Montgomery et al. 2018), which has mainly focused on how consumers react to instances where their psychological contracts with brands are violated (e.g., when brands unexpectedly increase prices). Our research suggests that the country of origin of a firm and of a firm's customer base are important elements in the formation of social contracts, an understudied aspect in social contract theory (Thompson and Hart 2006). These new insights may in turn inform phenomena beyond offshoring. For instance, consumer responses to brand transgressions may depend on firm-level factors that strengthen social contract perceptions, such as a firm's historical ties to a particular society.

Third, our research contributes to the field of lay economics (Bhattacharjee et al. 2017; Boyer and Petersen 2017) by shedding light on how laypeople perceive the causes of collective layoffs. While these perceptions shape political beliefs and policy reactions, they remain currently a neglected topic. For example, prior literature shows that people react more negatively to globalization than to technological change, of which offshoring and automation are the most visible manifestations, even though the technological change has a more significant impact on labor markets (Rodrik 2018). This disparity has been linked with country-specific attitudes (e.g., patriotism or ethnocentrism). Our social contract account offers a deeper understanding of why consumers react differently to layoffs caused by offshoring versus automation and when these effects materialize.

Practically, our work also informs the managerial discourse on the consequences of firms' collective layoff decisions. Prior research has mainly focused on the general effects of collective layoffs on sales and marketing mix elasticities (Landsman and Stremersch 2020) and firm reputation (Love and Kraatz 2009). Our research advances this work by highlighting the unique consumer responses to offshoring, indicating that managers should view offshoring through a different lens than other forms of collective layoffs. Given that collective layoff decisions frequently appear in the media (study 3B), our findings imply that managers should not only consider supply-side effects of offshoring (Kotabe and Mudambi 2009) but also potentially negative demand-side effects.

Limitations and Future Research Directions

Our research has several limitations that offer avenues for future research. First, the field data in studies 3A and 3B, which cover a wide range of online consumer responses and media coverage, rely on correlational analyses, limiting the ability to draw causal inferences. In all other studies, we tested the effect of offshoring experimentally, using both consequential and attitudinal measures. Future research could replicate these findings from highly controlled environments in real-world settings and assess whether consumer reactions also influence downstream behaviors, such as consumer boycotts (Klein et al. 2004).

Second, we compared reactions to offshoring to other common types of layoffs that displace local labor: declining demand, automation, relocation, and outsourcing (the

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latter two allowing similar jobs to remain in the country). Each type of collective layoffs has idiosyncratic characteristics, and there is no "natural" control condition for offshoring; yet, comparisons of these other forms of layoffs with offshoring revealed consistent patterns of results. Moreover, studies 5, 5B, 6, and 6B allow for a test of our social contract account that does not rely on comparing offshoring to another reason for layoffs, circumventing this issue. Also, we did not differentiate firm motivations for offshoring (e.g., cost reduction or access to talent; Grappi, Romani, and Bagozzi 2015). If some motivations are perceived as a less egregious violation of the social contract, offshoring firms would have an incentive to ensure the public is aware of it. Moreover, studies 5 and 5B manipulated the firm's country of origin by manipulating the firm's HQ location. While this connection is well-grounded in the existing literature (Johansson, Douglas, and Nonaka 1985; Samiee, Shimp, and Sharma 2005), there are instances where it may be weaker (e.g., when the HQ location is related to tax considerations) or where it may be stronger (e.g., when the HQ location is related to historical factors); this may, in turn, lead to weaker or stronger reciprocity expectations emanating from the social contract. Future research could systematically explore these differences.

Third, our work did not investigate how perceptions of social contract violations depend on the economic rationale behind a firm's offshoring decision. Based on our social contract account, however, it is conceivable that consumers react less negatively to offshoring when they perceive it as a necessary response to an unfavorable business environment (e.g., demand-side changes) or external market pressures, making the perceived violation of the social contract more acceptable. Additionally, future studies could examine whether firms can mitigate the breach of the social contract caused by offshoring. Our framework suggests that offering various forms of compensation to society may help reduce perceptions of social contract violations (e.g., investing in community development) and thus attenuate the negative impact of offshoring.

Fourth, we derived our hypotheses from the concept of social contracts at the firm level, which allowed us to identify key moderators of the negative effect of offshoring, including firm characteristics (e.g., the firm's HQ location) and consumer characteristics (e.g., the firm's customer base location). Future studies could build on our findings by examining the impact of social contract violations at different hierarchical levels. For instance, future research might investigate whether consumers respond differently when a social contract is violated by an entire industry compared to a single firm (e.g., if most or all firms in an industry decide to offshore production). Additionally, future work may investigate whether perceived social contract violations vary by industry type (e.g., manufacturing vs. healthcare) or workforce type (e.g., blue-collar vs. white-collar). Exploring these questions could provide a more nuanced understanding of the perceptions of social contract violations.

Fifth, future research may explore perceived social contract violations arising from automation. Unlike offshoring, automation does not provide employment opportunities to a foreign society at the expense of the domestic society. Consequently, consumers may initially view automation as less of a social contract violation, as the social contract has traditionally been understood as an agreement among human members within a specific society or nation-state (Donaldson 1982; Hsieh 2015; Rawls 2009). However, advances in robotics increasingly enable firms to use machines with humanlike features and behaviors, allowing them to replace human workers across various industries (Kim, Schmitt, and Thalmann 2019; Schmitt 2019; van Doorn et al. 2017). As robots become more humanlike, they may blur the boundaries of what is considered part of the social contract (Duffy 2003). For instance, the use of humanlike machines could trigger negative social comparison processes where humans may perceive themselves as being collectively displaced or devalued by non-human entities (Granulo, Fuchs, and Puntoni 2019). Accordingly, consumers may perceive the use of automation as affecting humanity's collective social contract. We thus encourage future research to investigate whether implicit assumptions about the social contract are indeed human-centered and to explore how automation (e.g., robotics) may expand or challenge this framework.

Sixth, our studies did not examine how specific characteristics of the country to which production is offshored affect consumer reactions, which offers opportunities for future research. Related to this point, one could argue that the observed stronger negative reactions toward domestic (vs. foreign) offshoring firms could be influenced by the belief that foreign firms simply "return" jobs to their home countries. To address this possibility, we conducted an additional study ($N = 401$) in which we explicitly named the country to which a firm offshores (see web appendix E for details). This study produced consistent results (interaction effect: $p < .001$). Nevertheless, we acknowledge that the offshoring destination might moderate the effect of offshoring based on variables such as the similarity of the countries, the relative level of economic development, and specific historical factors (e.g., diplomatic relations). We therefore encourage future research to explore contingencies in consumer reactions to offshoring decisions based on contextual variables like these. In a similar vein, and more fundamentally, it is possible that socioeconomic and cultural differences across countries might systematically affect how consumers perceive social contracts and their formation, an important topic for future research.

Seventh, this work argued and empirically demonstrated that factors on both the firm side (e.g., the origin of the offshoring firm) and the society side (e.g., the society affected by offshoring) can weaken the perceived strength of the

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social contract, thereby moderating consumer reactions to offshoring by reducing perceptions of social contract violations. Future studies are needed to disentangle the strength of a social contract from the magnitude of its violation. Moreover, this research examined how social contract violations drive consumer reactions to offshoring and ruled out several alternative theoretical accounts. To gain insights into other processes, we conducted yet another study ($N = 406$) aimed at addressing the competing accounts of product quality, authenticity, and attitude toward technology (see web appendix E for details). This study confirmed that perceived social contract violations can explain consumer reactions to offshoring, controlling for alternative mechanisms; in addition, this study revealed that these reactions are a multiply determined phenomenon: perceived firm authenticity and product quality are also significant mediators. Additional research is needed to understand the varied psychological reactions to collective layoffs and the conditions when they are more likely to drive consumer behavior.

Finally, future research could investigate how consumers' perceptions of collective layoff decisions depend on a sense of community. For example, German consumers may view a firm moving production from Germany to the Netherlands more negatively if they feel a strong sense of community at the national level (e.g., if they strongly identify themselves as Germans) rather than at the supranational level (e.g., if they identify themselves as Europeans). Additionally, our social contract framework suggests that relocating jobs within a country could trigger similar negative effects as relocating jobs abroad. This might be particularly the case in countries with weaker internal cohesion. For example, a Northern Italian company relocating production to Southern Italy could be seen as a breach of the social contract, especially in areas with distinct regional identities. Investigating the circumstances under which domestic job relocations are perceived as social contract violations presents an important avenue for future research.

DATA COLLECTION STATEMENT

The first author collected the data for study 1 in the spring of 2023 on MTurk (US participants). We preregistered the hypotheses and study characteristics of study 1 (https://aspredicted.org/c4kz-vhym.pdf). The first author collected the data for study 2 in the spring of 2020 on Prolific (UK participants). We preregistered the hypotheses and study characteristics of study 2 (https://aspredicted.org/bfqc-k77k.pdf). The first author collected the data for study 3A in two steps in the summer of 2022. First, the author wrote a code that searched for Reddit posts that contained a set of pre-specified search terms. Then, two research assistants blind to the research question independently categorized each post based on pre-specified criteria. We preregistered the code, hypothesis, data collection procedure, and data analysis plan of study 3 (https://aspredicted.org/9zp4-422q.pdf). The first author collected the data for study 3B in the spring of 2018 from the EU agency Eurofound. The first author collected the data for study 4 in the spring of 2023 on MTurk (US participants). The first author collected the data for study 5 in the spring of 2023 on Prolific (UK participants). We preregistered the hypotheses and study characteristics of study 5 (https://aspredicted.org/kzrg-sw24.pdf). The first author collected the data for study 5B in the spring of 2023 on MTurk (US participants). We preregistered the hypotheses and study characteristics of study 5B (https://aspredicted.org/3gkv-ys6n.pdf). The first author collected the data for study 6 in the spring of 2023 on Prolific (UK participants). We preregistered the hypotheses and study characteristics of study 6 (https://aspredicted.org/p98g-y8p2.pdf). The first author collected the data for study 6B in the spring of 2023 on Prolific (UK participants). The first author collected the data for supplementary study S1 in the spring of 2023 on Prolific (UK participants). The first author collected the data for supplementary study S2 in the spring of 2023 on Prolific (UK participants). The authors collectively designed the studies. The first and second authors analyzed the data and discussed the results with the other two authors. The data are currently stored on and openly available in the Open Science Framework (https://osf.io/9vjt5/).

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